LG Innotek (011070 KS)

3Q26 preview: temporarily clouded lens, a clearer outlook for substrates

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BUY (M)

Target price	W1,200,000 (Down)
Previous target price	W1,400,000
Current price (Oct 07)	W591,000
Upside potential	103%

Market cap (Wbn)	13,987
Shares outstanding	23,667,107
Avg daily T/O (2M, Wbn)	155
Avg daily volume (2M, shrs)	261,691
52-week high/low (won)	1,530,000 / 183,600
Foreign ownership (%)	27.16%
Dividend yield (%)	0.69%
Major shareholders	LG Electronics & other

Stock performance

(%)	1M	3M	12M
Absolute	0.9	(27.4)	213.5
Relative	3.7	(18.3)	63.5
Abs (US$)	0.9	(17.2)	227.5

3Q26 preview: competitiveness intact, forex impact concentrated in 3Q26

We estimate 3Q26 revenue at W6.259tn (+16.6% YoY, +13.2% QoQ) and OP at W78.7bn (OPM 1.3%), with OP substantially below consensus. For Optics Solution, unfavorable forex conditions are weighing on profitability through a combination of: 1) inventory produced when the won was relatively weak in 1H26; and 2) the time lag between raw material purchases and shipments of the key customer's new models. Nevertheless, fundamentals remain solid, supported by robust new-model demand and higher ASP from the addition of variable apertures to existing camera modules. Cost pressures will likely ease from 4Q26 as raw materials purchased at lower exchange rates are reflected in production costs. For the Mobility Solution business, we expect stable profitability, supported by the impact of a lower exchange rate and solid orders.

Substrates resilient despite forex headwinds

The Package Solution business is also exposed to forex effects, but earnings growth should remain solid on robust substrate demand from North American customers. Product expansion and customer diversification are underway, centered on FC-BGA. As originally planned, the company is set to enter the PC CPU market in 4Q26, with FC-BGA applications expected to expand to server switches in 2027 and server CPUs in 2028. Given anticipated medium- to long-term substrate demand, discussions with major FC-BGA customers on LTAs averaging four to five years are also positive. To meet this demand, the company has mentioned the possibility of adding production lines in available space at its Gumi plant, alongside the Vietnam capacity expansion targeting mass production in 2028.

Maintain BUY; revise down target price to W1,200,000

LTA discussions with major customers are improving mid- to long-term demand visibility, while product expansion and customer diversification for the Package Solution business are gaining momentum. However, a 3Q26 earnings shock from unfavorable forex conditions, primarily for Optics Solution, is unavoidable. We therefore lower our 2026E and 2027E annual OP estimates by 20.7% and 9.3%, respectively. Alongside the earnings revisions, we apply a wider discount to global substrate peers to reflect forex-driven earnings weakness, lowering our target price to W1,200,000. We nevertheless expect a recovery on easing cost pressures in 4Q26 and substrate growth. We maintain BUY.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	6,259	16.6	13.2	6,110	2.4
OP	79	-61.4	-68.0	216	-63.5
Pre-tax net profit	57	-63.6	-74.3	176	-67.5
Net profit, CI	47	-63.7	-72.5	156	-70.0
OPM (%)	1.3	-2.5 %pt	-3.1 %pt	3.5	-2.2 %pt
NPM (%)	0.7	-1.7 %pt	-2.4 %pt	2.5	-1.8 %pt

Note: CI = controlling interest

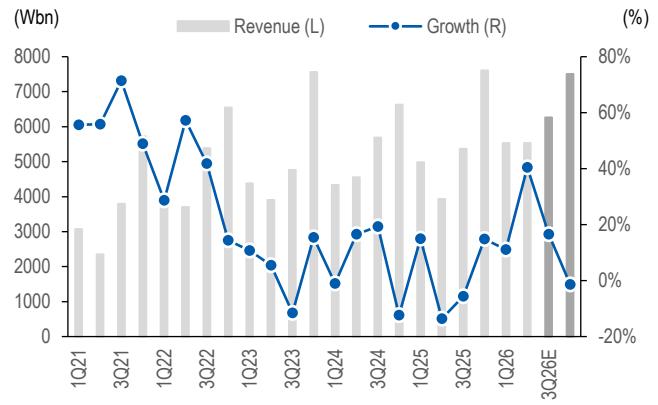
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	21,201	21,897	24,829	26,560
OP	706	665	1,024	1,439
Net profit, CI	449	341	762	1,115
P/E (x)	11.4	12.4	18.4	12.5
P/B (x)	1.0	0.7	2.0	1.6
EV/EBITDA (x)	3.3	2.8	6.7	5.0
ROE (%)	8.9	6.1	11.8	14.1

Source: Yuanta Securities

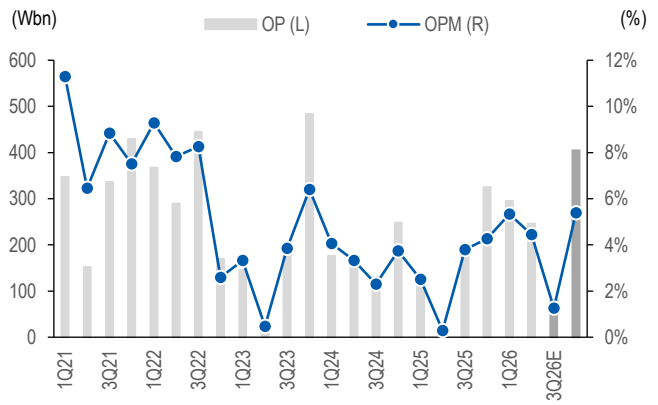
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

LG Innotek: revenue and YoY growth



Source: company data, Yuanta Securities

LG Innotek: OP and OPM



Source: company data, Yuanta Securities

LG Innotek: earnings forecast revision

(Wbn)	3Q26E			2026E			2027E		
	Old	New	Diff.	Old	New	Diff.	Old	New	Diff.
Sales	**6,259**	**6,359**	**-99.8**	**24,829**	**25,323**	**-494.7**	**26,560**	**26,755**	**-194.4**
Optics solution	5,196	5,311	-114.9	20,739	21,268	-529.2	21,921	22,196	-274.9
Package solution	547	532	15.1	2,058	2,024	34.6	2,562	2,482	80.5
Mobility solution	517	517	0.0	2,032	2,032	0.0	2,078	2,078	0.0
OP	**79**	**320**	**-241.1**	**1024**	**1292**	**-267.6**	**1440**	**1587**	**-146.8**
OPM (%)	**1.3%**	**5.0%**	**-3.8%**	**4.1%**	**5.1%**	**-1.0%**	**5.4%**	**5.9%**	**-0.5%**

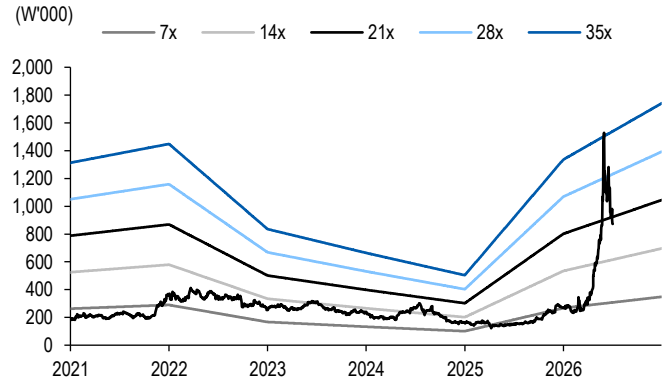
Source: Yuanta Securities

LG Innotek: target price calculation

	Value	Note
EPS (won)	58,059	2027E EPS
Target P/B (x)	**24.0**	**Average P/E of Unimicron, Ibiden, Nanya PCB, Kinsus**
Target price (won)	**1,400,000**	**EPS x target P/E**
Current price (won)	614,000	
Upside (%)	128%	

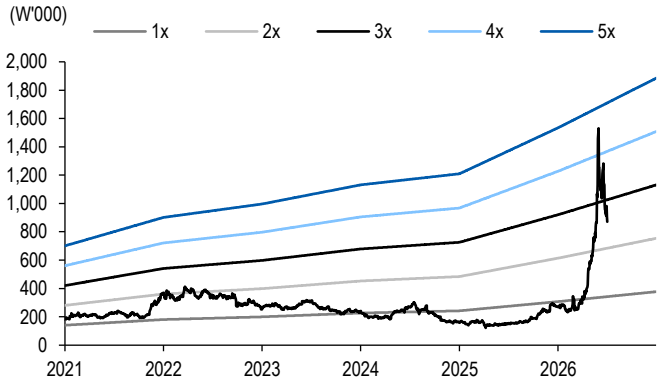
Note: as of July 27, 2026; source: Yuanta Securities

LG Innotek: 12-month-forward P/E band



Source: Yuanta Securities

LG Innotek: 12-month-forward P/B band



Source: Yuanta Securities

LG Innotek: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**4,982.8**	**3,934.6**	**5,369.4**	**7,609.8**	**5,534.8**	**5,527.2**	**6,259.4**	**7,507.3**	**21,896.6**	**24,828.8**	**26,560.5**
YoY (%)	15.0%	-13.6%	-5.6%	14.8%	11.1%	40.5%	16.6%	-1.3%	3.3%	13.4%	7.0%
QoQ (%)	-24.8%	-21.0%	36.5%	41.7%	-27.3%	-0.1%	13.2%	19.9%	-	-	-
Optics solution	4138.4	3052.7	4481.2	6646.2	4610.6	4,517.9	5,195.9	6,414.3	18,318.5	20,738.6	21,920.7
YoY (%)	17.8%	-17.1%	-7.4%	15.2%	11.4%	48.0%	15.9%	-3.5%	2.9%	13.2%	5.7%
QoQ (%)	-28.3%	-26.2%	46.8%	48.3%	-30.6%	-2.0%	15.0%	23.4%	-	-	-
Package solution	376.9	416.2	437.7	489.2	437.1	498.4	547.0	575.9	1,720.0	2,058.4	2,562.2
YoY (%)	14.8%	10.0%	18.2%	27.6%	16.0%	19.8%	25.0%	17.7%	17.8%	19.7%	24.5%
QoQ (%)	-1.7%	10.4%	5.2%	11.8%	-10.7%	14.0%	9.7%	5.3%	-	-	-
Mobility solution	467.5	465.7	450.6	474.3	487.1	510.9	516.6	517.1	1,858.1	2,031.7	2,077.5
YoY (%)	-4.8%	-6.3%	-5.7%	-0.1%	4.2%	9.7%	14.6%	9.0%	-4.3%	9.3%	2.3%
QoQ (%)	-1.5%	-0.4%	-3.2%	5.3%	2.7%	4.9%	1.1%	0.1%	-	-	-
% in sales (%)											
Optics solution	83.1%	77.6%	83.5%	87.3%	83.3%	81.7%	83.0%	85.4%	83.7%	83.5%	82.5%
Package solution	7.6%	10.6%	8.2%	6.4%	7.9%	9.0%	8.7%	7.7%	7.9%	8.3%	9.6%
Mobility solution	9.4%	11.8%	8.4%	6.2%	8.8%	9.2%	8.3%	6.9%	8.5%	8.2%	7.8%
OP	**125.1**	**11.4**	**203.7**	**324.7**	**295.3**	**245.8**	**78.7**	**404.6**	**664.9**	**1,024.4**	**1,440.0**
YoY (%)	-28.9%	-92.5%	56.2%	31.0%	136.0%	2057.2%	-61.4%	24.6%	-5.8%	54.1%	40.6%
QoQ (%)	-49.5%	-90.9%	1,688.5%	59.4%	-9.1%	-16.8%	-68.0%	413.9%	-	-	-
Optics solution	73.4	-33.6	161.9	280.6	242.3	167.6	26.0	307.9	482.2	743.7	918.4
Package solution	28.8	22.6	28.8	48.7	37.7	61.9	38.3	86.4	128.9	224.3	440.4
Mobility solution	22.9	22.4	13.1	-4.5	15.3	16.3	14.5	10.3	53.9	56.4	81.2
OPM (%)	**2.5%**	**0.3%**	**3.8%**	**4.3%**	**5.3%**	**4.4%**	**1.3%**	**5.4%**	**3.0%**	**4.1%**	**5.4%**
Optics solution	1.8%	-1.1%	3.6%	4.2%	5.3%	3.7%	0.5%	4.8%	2.6%	3.6%	4.2%
Package solution	7.6%	5.4%	6.6%	10.0%	8.6%	12.4%	7.0%	15.0%	7.5%	10.9%	17.2%
Mobility solution	4.9%	4.8%	2.9%	-1.0%	3.1%	3.2%	2.8%	2.0%	2.9%	2.8%	3.9%

Source: Yuanta Securities

LG Innotek (011070 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**21,201**	**21,897**	**24,829**	**26,560**	**27,888**
Cost of sales	19,457	20,147	22,568	23,791	24,681
Gross profit	1,744	1,750	2,261	2,770	3,207
SG&A	1,038	1,085	1,236	1,331	1,394
Operating profit	**706**	**665**	**1,024**	**1,439**	**1,813**
EBITDA	1,986	1,815	1,964	2,333	2,833
Non-operating profit	-117	-256	-74	-52	-28
Forex gains	46	-13	-13	-2	-2
Net interest income	-74	-46	-51	-21	3
Equity-method gains	0	0	0	0	0
Other	-89	-197	-10	-28	-28
Net prof before income tax	589	409	950	1,387	1,785
Income tax	140	67	188	272	333
Net profit from continuing ops	449	341	762	1,115	1,452
Net profit from discontinued ops	0	0	0	0	0
Net profit	449	341	762	1,115	1,452
NP for controlling interest	**449**	**341**	**762**	**1,115**	**1,452**
Total comprehensive income	701	459	1,255	1,595	1,933
Total comprehensive income, CI	701	459	1,255	1,595	1,933

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**5,853**	**6,778**	**8,388**	**10,315**	**11,929**
Cash & cash equivalents	1,329	1,406	3,088	4,395	5,715
Accounts receivables & other	2,810	3,419	3,373	3,768	3,955
Inventory	1,575	1,789	1,765	1,971	2,070
Non-current assets	5,525	5,153	4,745	4,815	5,302
Tangible assets	4,480	3,724	3,258	3,353	3,867
Investment in affiliates	0	0	0	0	0
Other investment assets	182	376	466	480	487
Total assets	**11,378**	**11,931**	**13,133**	**15,130**	**17,231**
Current liabilities	3,955	4,507	4,650	5,087	5,295
Accounts payable & other	3,063	3,576	3,528	3,941	4,138
ST financial liabilities	73	155	206	206	206
Liquid LT liabilities	611	567	710	710	710
Non-current liabilities	2,069	1,661	1,342	1,351	1,356
LT financial liabilities	1,186	1,011	971	971	971
Debentures	781	529	269	269	269
Total liabilities	**6,024**	**6,168**	**5,992**	**6,438**	**6,651**
Equity, controlling interest	5,354	5,763	7,141	8,692	10,580
Paid-in capital	118	118	118	118	118
Capital surplus	1,134	1,134	1,134	1,134	1,134
Retained earnings	3,868	4,191	4,946	6,017	7,425
Equity, non-controlling interest	0	0	0	0	0
Total equity	**5,354**	**5,763**	**7,141**	**8,692**	**10,580**
Net debt	**1,360**	**882**	**-924**	**-2,232**	**-3,552**
Total debt	2,700	2,313	2,189	2,190	2,191

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,110**	**1,331**	**2,532**	**2,398**	**3,015**
Net profit	449	341	762	1,115	1,452
Depreciation & amortization	1,229	1,101	895	855	986
Forex gains	0	0	1	2	2
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-816	-410	586	98	252
Other	248	300	289	327	322
Investing cash flow	**-969**	**-796**	**-254**	**-735**	**-1,276**
Investment	-18	-73	2	-14	-7
Increase in tangible assets	-879	-611	-324	-950	-1,500
Decrease in tangible assets	7	1	1	0	0
Other	-79	-114	68	229	230
Financing cash flow	**-220**	**-453**	**-206**	**-43**	**-44**
ST financial liabilities	36	84	50	1	1
Debenture/LT financial liabilities	-105	-470	-174	0	0
Equity	0	0	0	0	0
Cash dividend	-62	-49	-44	-44	-44
Other cash flow	-89	-17	-37	0	0
Consolidation adj and other	19	-5	-391	-313	-375
Increase in cash & equivalents	**-60**	**77**	**1,682**	**1,307**	**1,320**
Beginning cash & equivalents	1,390	1,329	1,406	3,088	4,395
Ending cash & equivalents	1,329	1,406	3,088	4,395	5,715
NOPLAT	706	665	**1,024**	**1,439**	**1,813**
FCF	**231**	**720**	**2,208**	**1,448**	**1,515**

Valuation

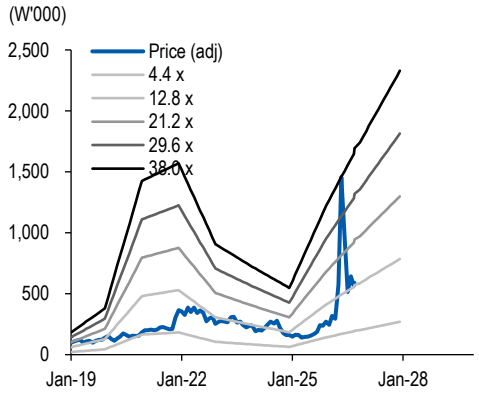
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	18,983	14,419	32,189	47,125	61,369
BPS (won)	226,240	243,532	301,758	367,299	447,086
EBITDA/shr (won)	83,917	76,702	82,974	98,574	119,692
SPS (won)	895,790	925,191	1,049,086	1,122,252	1,178,364
DPS (won)	2,090	1,880	1,880	1,880	1,880
P/E (x)	**11.4**	**12.4**	**18.4**	**12.5**	**9.6**
P/B (x)	**1.0**	**0.7**	**2.0**	**1.6**	**1.3**
EV/EBITDA (x)	**3.3**	**2.8**	**6.7**	**5.0**	**3.7**
P/S (x)	**0.2**	**0.2**	**0.6**	**0.5**	**0.5**

Key financial data

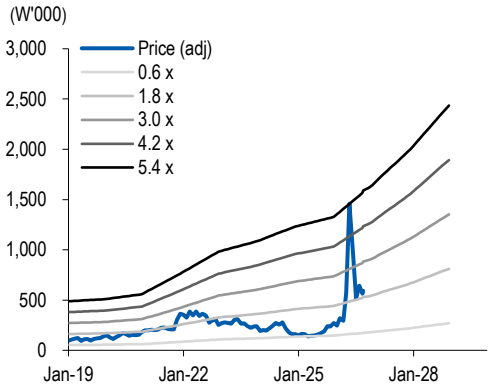
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**2.9**	**3.3**	**13.4**	**7.0**	**5.0**
Operating profit (%YoY)	**-15.0**	**-5.8**	**54.0**	**40.5**	**26.0**
Net profit, CI (%YoY)	**-20.5**	**-24.0**	**123.2**	**46.4**	**30.2**
Gross margin (%)	8.2	8.0	9.1	10.4	11.5
Operating margin (%)	**3.3**	**3.0**	**4.1**	**5.4**	**6.5**
Net margin, CI (%)	2.1	1.6	3.1	4.2	5.2
EBITDA margin (%)	9.4	8.3	7.9	8.8	10.2
ROIC (%)	9.5	9.6	16.5	22.2	26.2
ROA (%)	4.0	2.9	6.1	7.9	9.0
ROE (%)	**8.9**	**6.1**	**11.8**	**14.1**	**15.1**
Debt-to-equity (%)	112.5	107.0	83.9	74.1	62.9
Net debt-to-equity (%)	25.4	15.3	-12.9	-25.7	-33.6
OP/financing cost (x)	6.2	7.6	11.4	15.9	20.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

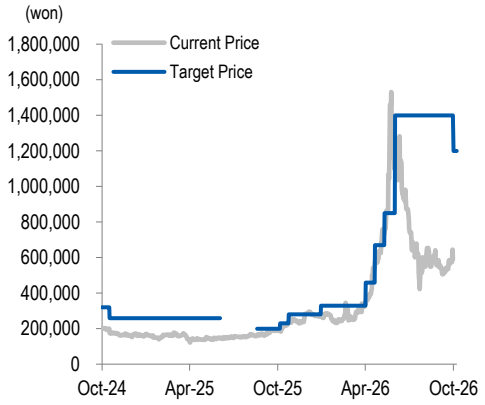
P/E band chart



P/B band chart



LG Innotek (011070 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/08	BUY	1,200,000	1 yr		
2026/06/09	BUY	1,400,000	1 yr	-50.48	-8.36
2026/05/18	BUY	850,000	1 yr	28.23	80.00
2026/04/28	BUY	670,000	1 yr	-1.19	13.43
2026/04/09	BUY	460,000	1 yr	-6.15	17.83
2026/01/06	BUY	330,000	1 yr	-16.11	5.15
2025/10/31	BUY	280,000	1 yr	-6.87	5.18
2025/10/13	BUY	230,000	1 yr	-6.98	0.43
2025/08/26	BUY	200,000	1 yr	-11.16	-1.25
2024/09/05	BUY	320,000	1 yr	-32.83	-25.78

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 08, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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